

Annual Contract Works and Legal Liability Policy

“Sample Wording”

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INTRODUCTION

In consideration of the Named Insured paying or agreeing to pay premium, the Insurer(s) agree to indemnify the Insured to the extent provided herein subject to the Limit(s) of Liability, Extensions, Exclusions and Conditions of this Policy.

The liability of all the Insurers collectively will in no case exceed the Limits of Liability and Sub-limits stated in the Schedule or elsewhere in this Policy.

And provided further that the liability of each of the Insurers individually will in no case exceed the proportion set against each Insurer’s name below.

Signed for and on behalf of the Insurers:

Insurer(s)	Policy No.	Proportion %	Signature	Date
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SCHEDULE

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DEFINITIONS

Capitalised terms in this Policy comprise either the definitions set out below or items capitalised in the Schedule.

Act of Terrorism includes any act, or preparation in respect of action, or threat of action designed to influence the government de jure or de facto of any nation or any political divisions thereof, or in pursuit of political, religious, ideological or similar purposes to intimidate the public or a section of the public of any nation by any person or group(s) of persons whether acting alone or on behalf of or in connection with any organisation(s) or government(s) de jure or de facto, and which:

- (a) involves violence against one or more persons; or
- (b) involves damage to property; or
- (c) endangers life other than that of the person committing the action; or
- (d) creates a risk to health or safety of the public or a section of the public; or
- (e) is designed to interfere with or to disrupt an electronic system.

Advertising Injury means:

- (a) libel, slander or defamation;
- (b) infringement of copyright or of title or of slogan;
- (c) piracy or unfair competition or idea misappropriation under an implied contract;
- (d) invasion of privacy;

committed or alleged to have been committed during the Period of Insurance in any advertisement, publicity article, broadcast or telecast and arising out of the Insured's advertising activities or any advertising activities conducted on behalf of the Insured, in the course of advertising the Contract, Business, goods or services.

Aircraft means any craft or machine made or intended to fly or become airborne or move on or through the atmosphere or space.

Business means the activities stated in the Schedule and includes the provision and management of canteens, social, sports and welfare organisations for the benefit of the Insured's employees, first aid, security, fire and ambulance services and maintenance of the Insured's premises.

Computer System means any computer, hardware, software, communications system, electronic device (including, but not limited to, smart phone, laptop, tablet, wearable device), server, cloud or microcontroller including any similar system or any configuration of the aforementioned and including any associated input, output, data storage device, networking equipment or back up facility, owned or operated by the Insured or any other party.

Computer Virus means a set of corrupting, harmful or otherwise unauthorised instructions or code including a set of maliciously introduced unauthorised instructions or code, programmatic or otherwise, that propagate themselves through a computer system or network of whatsoever nature. Computer Virus includes but is not limited to 'Trojan Horses', 'worms' and 'time or logic bombs'.

Contract means any contract, agreement or undertaking by or on behalf of the Insured in connection with the Insured Contracts.

Contract Value means the total value of work and construction costs incurred by the Insured in respect of the Contract Works and includes the value of principal supplied and free issued materials. The Named Insured may elect to reduce the Contract Value by the value of non-recurring construction costs (in whole or in part).

Contract Works has the meaning set out in clause (a) of the definition of Insured Property.

Construction Period means the period commencing with:

- (a) the entering into of each Contract or commencement of work; or
- (b) the commencement date of the Period of Insurance (or any renewal thereof);

whichever is the later, until:

- (a) the Contract Works have been formally accepted in their entirety by the principal or owner as having achieved practical completion, notwithstanding the fact that portions of the Contract(s) may have been handed over, put into use or accepted by the principal or owner prior to that time; or



- (b) with respect to each separable portion of the Insured Contract(s), the time it is taken over and put into use by the principal or owner;

but ceasing on the expiry of the Period of Insurance stated in the Schedule, subject to the Conditions of this Policy.

Cyber Loss means any loss, damage, liability, claim, cost or expense of whatsoever nature directly or indirectly caused by, contributed to by, resulting from, arising out of or in connection with any Cyber Act or Cyber Incident including, but not limited to, any action taken in controlling, preventing, suppressing or remediating any Cyber Act or Cyber Incident.

Cyber Act means an unauthorised, malicious or criminal act or series of related unauthorised, malicious or criminal acts, regardless of time and place, or the threat or hoax thereof involving access to, processing of, use of or operation of any Computer System.

Cyber Incident means

- (a) any error or omission or series of related errors or omissions involving access to, processing of, use of or operation of any Computer System; or
- (b) any partial or total unavailability or failure or series of related partial or total unavailability or failures to access, process, use or operate any Computer System.

Damage means physical loss, destruction or damage with the word Damaged having a corresponding meaning.

Defects Liability Period means the period in a Contract during which the Insured is legally obliged to rectify defects, shrinkages, errors, omissions or other faults which may include the requirement for a further period.

The Defects Liability Period shall not exceed the period stated in the Schedule.

Electronic Data means facts, concepts and information converted to a form useable for communications, interpretation or processing by electronic and electromechanical data processing or electronically controlled equipment and includes programmes, software and other coded instructions for the processing and manipulation of data or the direction and manipulation of such equipment.

Employee means any person under a contract of service or apprenticeship with the Insured.

Employees Property means construction tools and effects owned by the Named Insured's Employees.

Indemnity Value means:

- (a) where the Damage to Insured Property can be repaired, the amount payable under this Policy will be those costs incurred to restore the Insured Property to the condition prior to the Damage, including the cost of dismantling and re-erection incurred for the purpose of effecting the repairs. Deductions will not be made for depreciation in respect of parts replaced, but the salvage value of such parts shall be deducted from the settlement;
- (b) where the Insured Property is lost, destroyed, abandoned or cannot be satisfactorily repaired at a cost not exceeding the market value immediately prior to the Damage, the amount payable under this Policy shall be the market value of the item at the time of the Occurrence. If the market value cannot be determined, the basis of settlement shall be the replacement cost of the damaged Insured Property less due allowance for depreciation taking into consideration the anticipated useful life of the property and the nature of its usage;
- (c) in respect of Named Insured's Construction Plant and Equipment the following shall apply:
 - i. in the event of the total loss or constructive total loss of an item which is financed, the amount settled will be the greater of the cost of discharging the finance or the amount calculated in a) or b) above;
 - ii. in the event of Damage in respect of items subject to a lease, hire, rental or similar agreement, the basis of settlement will be in accordance with the rectification provisions of such agreement, but not exceeding the Reinstatement Value.

Insured means:

- (a) the Named Insured stated in the Schedule :
- (b) any parent or subsidiary company (including subsidiaries thereof) of the Named Insured and any other organisation under their control and over which it is exercising active management, whether now or hereafter incorporated;



- (c) if not a Named Insured, any of the following persons or entities for whom or for which the Named Insured has agreed to arrange insurance or as required by a Contract or assumption of responsibility in connection with the Insured Contracts:
- i. Additional Insureds stated in the Schedule;
 - ii. principal or owner or agent of the principal or owner or joint venture partner;
 - iii. contractor or sub-contractor of any tier;
 - iv. construction manager, project manager or superintendent;
 - v. architect, engineer or other consultant, but only in respect of their on-site, manual activities;
 - vi. lessor, financier, mortgagee or security trustee;
 - vii. government agency or other government body;
 - viii. other party with an insurable interest in the Insured Contracts;
- (d) any director, executive officer, employee, partner, contract staff, or member of any safety, security or medical facility of any of the Insureds under clauses (a), (b) or (c) whilst acting as such;
- (e) any office bearer or member of any social, sporting, safety, security, medical or welfare facility of any of the Insureds under clauses (a), (b), (c)i, (c)ii, (c)iii, (c)iv or (c)v whilst acting as such;
- all for their respective rights and interests.

Insured Property means:

- (a) **Contract Works** comprising property of every description used or to be used in part of or incidental to or having any connection whatsoever with the Insured Contracts. It includes but is not limited to:
- i. the works, whether permanent or temporary works, structures, materials and supplies including free supplied materials;
 - ii. temporary buildings, camp buildings and all other project buildings and their contents;
 - iii. formwork, falsework, scaffolding, access platforms, hoardings, mouldings, and the like, whether the foregoing be consumable or reusable;
 - iv. consumables, drawings and other documents and Electronic Data;
- but excluding Named Insured's Construction Plant and Equipment and Existing Property not specified above.
- (b) **Existing Property** being existing buildings and structures, but only in respect of Occurrences during the course of completing the Insured Contracts. Existing Property is specifically excluded under this Policy unless an amount is specified against this limit in the Schedule.
- (c) **Named Insured's Construction Plant and Equipment** being all construction plant, tools and equipment of every description (including hired in construction plant and equipment), including spare parts, but excluding subcontractors' plant, tools and equipment.
- Named Insured's Construction Plant and Equipment is specifically excluded under this Policy unless an amount is specified against this limit in the Schedule.

Property described in clauses (a), (b) and (c) above refers to property owned by the Insured or for which they are responsible or have assumed responsibility or for which the Insured has agreed to insure, or in which the Insured has an insurable interest.

Insurer means the insurers of the Policy, who are certain Underwriters at Lloyd's of London.

Local Time means the official Government Time (which includes daylight savings time where observed) at the place stated in the Schedule.

Major Peril means earthquake, landslip, subterranean fire or volcanic eruption, subsidence, collapse, storm, tempest and/or rainwater and/or flood and/or tsunami and/or named cyclone and/or hail and/or water damage howsoever caused.

Market Value means the value of the Insured Property at a normal sale or in the case that value cannot be established, the value taking profit expectations and factors such as age, wear, tear, location and useability into account.

Nuclear Energy Risks means any insurance in respect of:

- (a) all property, on the site of nuclear power station, Nuclear Reactors, reactor buildings and plant and equipment therein on any site;



- (b) all property on any site (including but not limited to the sites referred to in (a) above) used or having been used for the generation of nuclear energy; or the Production, Use or Storage of Nuclear Material;
- (c) any other property eligible for insurance by the relevant nuclear insurance pool and/or association but only to the extent of the requirements of the local pool and/or association;
- (d) the supply of goods and services to any of the sites, described in (a) to (c) above unless such insurances exclude the perils of irradiation and contamination by nuclear material.

Nuclear Materials means:

- (a) nuclear fuel, other than natural uranium and depleted uranium, capable of producing energy by a self-sustaining chain process of nuclear fission outside a Nuclear Reactor, either alone or in combination with some other material; and
- (b) radioactive products or waste.

Nuclear Reactors mean any structure containing nuclear fuel in such an arrangement that a self-sustaining chain process of nuclear fission can occur therein without an additional source of neutrons.

Occurrence means an event including continuous or repeated exposure to conditions neither expected nor intended from the standpoint of the Insured.

Period of Insurance means the period stated in the Schedule and shall include any subsequent period which the Insurers have agreed to provide cover.

Personal Injury means:

- (a) bodily injury, death, sickness, disease, disability, shock, fright, mental anguish and mental injury including loss of services, loss of consortium and/or loss of dependency resulting therefrom.
- (b) false arrest, false imprisonment, wrongful eviction, wrongful entry, wrongful detention, malicious prosecution and humiliation; trespass or nuisance;
- (c) assault and battery not committed by or at the direction of the Insured unless committed for the purpose of preventing Personal Injury or Property Damage or eliminating danger to persons or property.

Policy means this Annual Contract Works and Legal Liability Policy.

Pollutants means any solid, liquid, gaseous or thermal irritant or contaminant including smoke, vapour, soot, fumes, acids, chemicals or waste. Waste includes materials to be recycled, reconditioned or reclaimed.

Production, Use or Storage of Nuclear Material means the production, manufacture, enrichment, conditioning, processing, reprocessing, use, storage, handling and disposal of Nuclear Material.

Products means anything after it has left the custody or control of the Insured, which has been or is deemed by law to have been manufactured, grown, produced, processed, formulated, built and/or constructed, assembled, erected, installed, sold, supplied, imported, exported, distributed, treated, serviced, altered or repaired by the Insured, which includes the Insured Contracts or other works performed by the Insured, containers, labels and packing materials, directions, instructions and advice given or omitted to be given in connection with such Products. Contract Works shall be deemed to be a Product only after expiry of the Construction Period and after they have left the custody or control of the Insured.

Property Damage means:

- (a) loss of, physical injury to or destruction of tangible property including the loss of use thereof at any time resulting therefrom. All such loss of use shall be deemed to happen at the time of the physical damage that caused it.
- (b) loss of use of tangible property which has not been physically injured or destroyed provided such loss of use is caused by physical damage or destruction of other tangible property which first happened during the Period of Insurance. All such loss of use shall be deemed to first happen at the time of the physical damage that caused it.

Project Site means any location where the Insured is performing the works or has work undertaken including pre-fabrication, repair or remedial work or has property stored or property whilst in transit.

Reinstatement Value means:

- (a) where the Insured Property is lost or destroyed, the cost of replacement thereof by similar property in a condition equal to, but not better or more extensive than its condition when new;



- (b) where the Insured Property is Damaged, the repair of the damage and the restoration of the Insured Property to a condition substantially the same as, but not better nor more extensive than its condition when new, plus the cost of dismantling and re-erection incurred for the purpose of effecting the repairs.

Vehicle means any type of machine on wheels or intended to be propelled by other than manual or animal power and any trailer made or intended to be drawn by any such machine whilst attached thereto.

Watercraft means any vessel, craft or thing in excess of 12 metres in length (measured at the waterline) made or intended to float on or travel on or through water.

Worker to Worker Liability means:

- (a) legal liability of the Insured in respect of recoveries of any payments by any workers' compensation insurer under the provisions of any workers' compensation legislation or policy, or at common law; or
- (b) a claim made by an injured worker (as defined by the relevant workers' compensation legislation) against the Named Insured other than the worker's direct employer.

solely in respect of workers undertaking construction work on the Insured Contracts.

Underlying Insurance (applying to Section 1 – Contract Works only) means:

- (a) a policy of insurance arranged by or on behalf of an Insured either voluntarily or pursuant to a Contract;
- (b) any policy arranged by joint venture partners, principals, contractors by whatever name extended to include the Insured as an insured but is not entered into by the Insureds;

that provides cover to the Insured for a risk, which save for the Underlying Insurance, would be covered by this Policy.

The following interpretational rules will apply to this Policy.

Headings

Headings in this Policy are included for reference only and do not form part of the wording. The terms and conditions of this Policy are not to be construed or interpreted by reference to such headings.

Singular/Plural

In this Policy, where the context admits, words denoting the singular shall include the plural and vice versa.



SECTION 1 - CONTRACT WORKS

INSURING CLAUSE

1. Construction Period

The Insurers will indemnify the Insured in accordance with the Basis of Settlement, against Damage not specifically excluded to the Insured Property occurring during the Construction Period, within the Geographical Scope stated in the Schedule.

2. Defects Liability Period

The Insurers will indemnify the Insured in accordance with the Basis of Settlement, against Damage to the Insured Property occurring during the Defects Liability Period from a cause not specifically excluded which manifests itself during the Defects Liability Period and originates from:

- (a) a cause during the Construction Period; or
- (b) an act or omission of any of the Insured or some other cause occurring in connection with the Insured complying with the maintenance or defects liability provisions of a Contract.



BASIS OF SETTLEMENT

In the event of Damage to Insured Property the amount payable shall be in accordance with the provisions below.

3. Reinstatement Value

Where the Basis of Settlement is Reinstatement Value the following provisions shall apply.

- (a) The rebuilding, replacing, repairing or restoring (carried out within the Geographical Scope and in a manner suitable to the requirements of the Insured, but subject to the liability of the Insurers not being thereby increased);
- (b) Where the Insured Property has been Damaged and the Insured elects not to reinstate the Insured Property, the Insurers agree to pay to the Insured the amount equal to the cost necessary to replace, repair or rebuild the Insured Property (as a cash settlement) to a condition substantially the same as but not better nor more extensive than its condition at the time the Damage occurred;

Where the Basis of Settlement is Indemnity Value the following provisions will apply:

- (a) In the event of the total loss or constructive total loss of an item which is financed, the amount settled will be the greater of the cost of discharging the finance or the amount calculated in (a) or (b) above
- (b) In the event of Damage in respect of items subject to lease, hire, rental or similar agreement, the basis of settlement will be in accordance with the rectification provisions of such agreement, but not exceeding the Reinstatement Value.

In the event of all loss or damage covered by this Section, Insurers shall be liable to pay reasonable levels of overhead charges, administration and profit applicable to repair and/or reinstatement and/or replacement.

4. Local Authorities clause

The indemnity provided by this Section shall extend to include the extra costs (including demolition or dismantling) of Damaged Insured Property necessarily incurred to comply with the requirements of any government department, local government or other statutory authority, other than such extra costs as aforesaid with which the Insured has been required to comply with prior to the Damage occurring.

5. Output replacement

If any item(s) of the Insured Property having a measurable output is Damaged (in whole or in part) and which is capable of replacement with a new item(s) which performs a similar function, then the amount payable by the Insurers in respect of such property shall be on the following basis.

- (a) If any Damaged Insured Property is to be replaced by an item(s) which has the same or a lesser total output, then the amount payable thereof is the new installed cost of such replacement item(s) as would give the same total output as the Damaged item(s).
- (b) If any Damaged Insured Property is to be replaced by an item(s) which has a greater total output and the replacement value is no greater than the value of the Damaged item(s) then the amount payable shall be the cost of the replacement item(s) and no deduction shall be made due to improved output.
- (c) If any Damaged Insured Property is to be replaced by an item(s) which has a greater total output and the replacement value is greater than the value of the Damaged item(s) then the insurable value thereof is that proportion of the new installed cost of the replacement item(s) as the output of the Damaged item(s) bears to the output of the replacement item(s). The difference between the insurable value as defined and the new installed cost of the replacement item(s) shall be borne by the Insured.

This clause does not apply where the Basis of Settlement is Indemnity Value.

6. Undamaged Foundations

In the event of Damage to the Insured Property but the foundations are not destroyed, and due to the exercising and statutory powers and/or delegated legislation and/or authority by any government or authority, the reinstatement or replacement of the Insured Property is required to be carried out upon another site, then the abandoned foundations of such structure shall be deemed to have been destroyed. If however, the resale value of the original site is increased by virtue of the presence of the abandoned portion of such structure then such increase shall be regarded as salvage and the amount thereof shall be deducted from the payment to the Insured.



EXTENSIONS

The following Extensions 7 to 20 are subject to, if any, the Limits of Liability or Sub-limit of Liability stated in the Schedule. This Section provides cover for:

7. Removal of Debris and additional costs

(a) Removal of Debris

Costs or expenses incurred in removing, clearing, dismantling or demolishing debris, materials, Insured Property, or other property, ponded water or other substances (including the removal, clearance dismantling or demolition of any of the Insured Property, which is no longer fit for the purpose which it was intended) from and around the Project Site.

(b) Shoring, propping and temporary protection of Insured Property and other property

Costs and expenses incurred by or on behalf of the Insured:

- i. for shoring up, propping, underpinning or for the removal of and/or the carrying out of temporary repairs;
- ii. in the purchasing and/or hiring and in the erection and dismantling of hoardings, barriers, fences and any other forms of protection which the Insured must provide in order to comply with the requirements of any government department, local government or other statutory authority.

The indemnity provided under this extension shall apply where the costs and expenses are incurred as a result of actual or imminent Damage or are necessary to prevent Damage.

8. Professionals' Fees

The fees of project managers, architects, surveyors, quantity surveyors, engineers, legal and other consultants and clerk of works' salaries for estimates, plans, designs, specifications, quantities, tenders and supervision incurred in reinstatement consequent upon Damage to the Insured Property, but excluding fees for the preparation of claims under this Section.

9. Expediting Expenses

Costs and expenses to expedite the commencement, carrying out or completion of the repair, reinstatement or replacement of the Insured Property consequent upon Damage. Such costs and expenses shall include but not limited to:

- (a) express or chartered carriage, delivery or freight (including by sea or air);
- (b) reasonable and necessary changes in the method of construction, the cost of earlier than usual delivery or manufacture and/or the cost of purchasing additional resources;
- (c) hire of additional labour, plant, equipment, materials, expertise or services;
- (d) travel (including by sea or air) of the Insured's directors, employees, agents, subcontractors, consultants or representatives;
- (e) overtime or penalty rates of wages and other related allowances and payments;
- (f) accommodation and boarding costs (including meals and other costs associated therewith);
- (g) additional administrative and/or overhead expenses.

10. Mitigation Expenses

Costs and expenses reasonably incurred by or on behalf of the Insured in respect of the mitigation, containment, elimination or suppression of an actual or imminent threat of Damage to Insured Property. Such costs and expenses shall include but not be limited to:

- (a) The payment for additional labour (including the Insured's employees) services or resources;
- (b) The cost of replenishing fire fighting appliances or systems and cost and charges incurred for the purposes of shutting off the supply of water or any other substance following the accidental discharge or escape from intended confines of any such substance, whether from fire protection equipment or otherwise.

11. Search and Locate Costs

Leak search and other costs incurred following irregularities discovered in the results of a hydrostatic or other testing procedure. Such costs will include but not be limited to:



- (a) the cost of hiring, operating and transporting apparatus;
- (b) the cost of all associated earthworks;

and are payable notwithstanding that Damage may not have occurred to the affected item.

12. Plant Hire Charges

Costs and expenses reasonably associated with continuing hire charges of Construction Plant and Equipment.

13. Claim Preparation Costs

Costs and expenses that are reasonably payable by the Insured and not otherwise recoverable in connection with or incidental to preparing, collating, auditing and/or qualifying claims under this Section and provided that such costs and expenses have not been incurred by an insurance intermediary.

14. Government Costs

- (a) Any fee, contribution or other impost (excluding fines and/or penalties) payable to any government department, local government or other statutory, where payment of such fee, contribution or impost is a condition precedent to the obtaining of consent to reinstate Insured Property.
- (b) Any fee, contribution or other impost (excluding fines and/or penalties) payable to any government department, local government or other statutory authority for services rendered or equipment supplied for the purpose of helping to prevent, mitigate or confine further actual Damage at or in the vicinity of a Project Site.

15. Inflation Protection

In the event of delay in completion of any Insured Contract (or part thereof) being incurred solely by reason of Damage to Insured Property which is insured hereunder, this Section shall indemnify the Insured in respect of the amount by which the ultimate cost of construction of those parts of the project not suffering such Damage and being unbuilt or incomplete at the date of the Damage should exceed the cost of construction had no such Damage or consequent delay occurred.

Provided always that:

- (a) The indemnity provided by this Extension shall apply to the net increase in costs caused by the inflationary effect of escalation in the costs of labour, materials and services which the Insured shall prove to be a direct result of the delay consequent upon indemnifiable Damage.
- (b) No indemnity is given under this Extension in respect of increased construction costs incurred:
 - i. in consequence of any other delay not referred to above;
 - ii. by reason of any improvement or change in methods of working or construction;
 - iii. in redesigning the project, or incurred as a result of such redesign;
 - iv. for the acceleration of the progress of the contract or work or to expedite repairs or to construct the project at a faster rate than previously achieved.
- (c) No indemnity is provided in respect of the payment of penalties or liquidated damages, nor in respect of costs incurred to avoid such payment.
- (d) Furthermore, the Insurer's obligation to indemnify the Insured in accordance with this Extension will be reduced to the extent that the net increase in construction cost is recovered by the Insured from another party.

16. Sue and labour

Sue and labour and other costs incurred for general average contributions, the salvage, rescue, recover or retrieval of Insured Property, together with the cost of dismantling and transportation of property to an appropriate place for assessment of any Damage including any transportation costs returning the Insured Property to the Project Site or storage yard once it has been repaired or replaced. Such costs and expenses shall be covered.

For the purpose of claims for general average contributions and salvage charges recoverable hereunder, the Insured Property shall be deemed to be insured for its full contributory value.



17. Plot ratio indemnity

In the event of Damage to Insured Property and as a result of the exercise of statutory powers and/or authority by any government authority, the reinstatement or replacement of such Insured Property is prohibited or is only permissible subject to a reduced floor space ratio index and/or to the payment of certain fees and contributions as a prerequisite to reinstatement or replacement, then the Insurers agree to pay to the Insured in addition to any amount otherwise payable:

- (a) the difference between the actual cost of reinstatement or replacement incurred in accordance with a reduced floor space ratio index and the cost of reinstatement or replacement which would have been incurred had a reduced floor space ratio index not been applicable;
- (b) the amount of any fees, contributions or other impost payable to any government department, local government or other statutory authority where such fee, contribution or impost is a condition precedent to consent being given to the reinstatement or replacement of such property;
- (c) the amount of any additional costs and expenses incurred by or on behalf of the Insured as a result of alterations to the specifications of such property brought about by the reduced floor space ratio index as aforesaid.

18. Civil authority

This Section is extended to include loss resulting from Damage by civil authority during a conflagration or other catastrophe incurred for the purpose of retarding the same.

19. Marine/non marine loss sharing

In the event of Damage to the Insured Property being discovered after the risk has terminated under any marine cargo/transit insurance or any subsequent period of discovery attaching thereto (whichever shall be the later), and after proper investigation it is not possible to ascertain whether the cause of such Damage happened prior to termination of the marine venture or subsequently, the Insurers shall contribute 50% of the loss provided that marine cargo/transit insurers also agree to contribute 50% of such loss. Any such settlement will be without prejudice to the subsequent final apportionment of the loss agreed between the Insurers and the marine cargo/transit insurers.

Should the Insurers settle a claim as described by the provisions of this clause, the applicable Excess shall be reduced proportionally to the contribution made by the Insurers to the total loss.

20. Additional cost of working

Costs and expenses necessarily and reasonably incurred for the sole purpose of preventing or minimising the interruption of or the interference with the carrying out of a Contract and to prevent delay in completion thereof due solely to Damage to any Insured Property for which indemnity has been admitted under this Policy or would have been admitted but for the application of the Excess. The Insured is not entitled to indemnity for costs:

- (a) which would have been incurred irrespective of whether the Damage had occurred;
- (b) solely to expedite the early completion of a Contract or any part thereof;
- (c) incurred in redesigning, altering, adding to or improving the Insured Property or rectification of defects or faults or elimination of any deficiencies carried out after the Damage or any increase in costs as a result of such redesigning, alteration, addition or improvement;
- (d) resulting from any delay due to the inability of the Insured to provide sufficient funds for the repair or replacement of the Insured Property that has suffered Damage;
- (e) in respect of any labour and / or construction plant, tools or equipment idle time costs;
- (f) arising from or in respect of any other consequential losses not specifically provided for under this Policy;
- (g) which is recoverable by the Insured under the terms of a Contract or can be avoided by obtaining agreement to an extension of time to the completion date of the Contract; and
- (h) in respect of any additional insurance premiums.



EXCLUSIONS

This Section does not provide indemnity in respect of:

21. Defects (LEG 2/96)

all costs rendered necessary by defects of material, workmanship, design, plan or specification and should Damage occur to any portion of the Insured Property containing the said defects the cost of replacement or rectification which is hereby excluded is that cost which would have been incurred if replacement or rectification of the Insured Property had been put in hand immediately prior to the said Damage.

For the purpose of this Section, and not merely this exclusion, it is understood and agreed that any portion of the Insured Property shall not be regarded as damaged solely by virtue of the existence of any defect of material, workmanship, design, plan or specification.

22. Consequential loss

Liquidated damages or penalties for non-completion of or delay in completion of the Contract or non-compliance with contract conditions or consequential loss, other than as specifically provided under this Policy.

23. Corrosion, wear and tear

The cost of rectifying corrosion, erosion, rust, oxidation, wear, tear or other gradual deterioration including that caused by atmospheric conditions but this Exclusion shall not apply to the remainder of the Insured Property which is free of such corrosion, erosion, rust, oxidation, wear, tear or deterioration but is Damaged as a consequence of such corrosion, erosion, rust, oxidation, wear, tear or deterioration.

24. Aircraft or waterborne craft

Aircraft or waterborne craft or plant and equipment permanently mounted thereon.

25. Disappearance or shortage

Damage revealed solely by inventory shortage alone, unless the shortage can be reasonably attributed to burglary, theft, or any attempt threat.

26. Money

Damage to cash, bank notes, treasury notes, cheques, postal orders, money orders, stamps or securities, bills of exchange, bonds, deeds, manuscripts, promissory notes, tokens and vouchers.

27. Marine transit

Damage to Insured Property in the course of ocean marine shipment between countries or transit by air between countries, but this Exclusion shall not apply to coastal marine shipments within Australian inland and coastal waters.

28. Breakdown of Construction Plant and Equipment

Damage to Construction Plant and Equipment caused by its mechanical or electrical breakdown; however, this Exclusion shall be limited to the electrical and mechanical power systems of such items including but not limited to internal combustion engines, electrical generators, electrical motors, gearboxes, compressors, pumps and the like, and shall not extend to Damage to items of plant and equipment lost or damaged in consequence thereof.

29. Abandonment of Works

Damage due to abandonment of the works associated with the Insured Property, or to cessation of work for any other reason, except for the first sixty (60) days of any such cessation.

30. Third Party Liability

Any actual or alleged liability whatsoever incurred by a third-party.

31. Piling Foundation and Retaining of Wall Works

Expenses incurred:



- (a) for replacing or rectifying piles or retaining wall elements which:
 - i. have become misplaced or misaligned or jammed during their construction,
 - ii. are lost or abandoned or damaged during driving or extraction, or
 - iii. have become obstructed by jammed or damaged piling equipment or casings,
- (b) for rectifying disconnected or declutched sheet piles,
- (c) for rectifying any leakage or infiltration of material of any kind,
- (d) for filling voids or for replacing lost bentonite,
- (e) as a result of any piles or foundation elements having failed to pass a load bearing test or otherwise not having reached their designed load bearing capacity,
- (f) for reinstating profiles or dimensions

This Exclusion shall not apply to loss or damage caused by natural hazards. The burden of proving that such loss or damage is covered shall be upon the Insured.

32. Cladding

Any loss or damage caused by, arising out of, or in any way connected with any external insulation and finishing system, wall panelling, cladding or façade material of any kind, that is:

- a) not compliant with or does not conform to any relevant legislation, regulation, standard, instructions, or ordinance or Building Codes; or
- b) installed, applied, specified or utilised in such a manner that is not compliant with or does not confirm to any relevant legislation, regulation, standard, instructions, ordinance or Building Codes.

For the purpose of the Endorsement, Building Codes means:

- i) Australian Standards, as published and amended from time to time, by Standards Australia Limited; or
- ii) the National Construction Code, including the Building Code of Australia, or any superseding document, published and amended from time to time, by the Australian Building Codes Board; or
- iii) any conditions of use or application approved by a recognised, and relevant, building standards organisation; or
- iv) any equivalent organisations to those outlines in i) to iii) above, in any other relevant jurisdiction.



CONDITIONS

33. Limits of Liability

- (a) The liability of the insurers for any Occurrence at any one Project Site shall not exceed the Limit of Liability and the cumulative amounts of the Sub-limits of Liability stated in the Schedule.
- (b) The Limits of Liability and Sub-limits of Liability shall apply in addition to the relevant Excess stated in Schedule.

34. Escalation

If any Contract insured by this Section should, during the Construction Period, escalate above the Contract Value agreed at award, then the Limit of Liability and Sub-Limits of Liability shall be increased by the proportion that the amount the anticipated final Contract Value for such Contract(s) exceeds the estimated Contract Value at commencement of the Contract(s). The total amount of all such increases shall not exceed 15 % in respect of each item in the Limits of Liability and Sub-limits of Liability stated in the Schedule.

35. Application of Excess

- (a) The insured shall be liable to pay the amount of excess stated in the schedule per Project Site meaning that in the event of damage arising from one Occurrence an excess will be applied to each affected Contract.
- (b) 72 Hour clause

For the purpose of the application of any Excess, all Damage resulting from fire, earthquake, cyclone, flood, storm and/or tempest, occurring during a period of 72 consecutive hours shall be considered as one Occurrence where such peril is sporadic in its sweep and scope. The Insured shall select the time from which any such period shall commence but no two selected periods shall overlap.

36. Progress payments

Provided that indemnity has been granted under this Section, progress payments on account of any claim will be made to the Insured, at times and for amounts as may be agreed upon production of an acceptable report by the Loss Adjuster, provided quantum has been established and such payments shall be deducted from the final settlement of the claim.

37. Claim payments

Any claim under this Section shall be settled with and paid to the Loss Payee stated in the Schedule or as the Named Insured may direct

38. Master and agreed rate contracts

Each Contract or project undertaken under a separate work or purchase order or similar agreement, will be deemed to be a separate Contract for the purposes of applying the provisions of this Policy, including the Construction Period and Contract Value.

39. Privacy Notice:

The Lead Insurer are authorised to enter into contracts of insurance on behalf of the Lloyd's underwriting members of Lloyd's syndicate 1967 which is managed by W. R. Berkley Syndicate Management Limited. The Insurers collect and use relevant information about the Insured to provide the Insured with insurance cover and to meet any legal obligations.

This information includes details such as the Insured's name, address and contact details and any other information that is collected in connection with the insurance cover. This information may include more sensitive details such as information about the Insured's health and any criminal convictions the Insured may have.

In certain circumstances, the Insurers may need the Insured's consent to process certain categories of information (including sensitive details such as information about the Insured's health and any criminal convictions they may have). Where consent is needed, the Insurer will ask for it separately. The Insured do not have to give consent and consent may be withdrawn at any time. However, if consent is not given, or if consent is withdrawn, this may affect the Insurers ability to provide the insurance cover from which the Insured benefits and may prevent us from providing cover or handling the Insured's claims.

The Insured's information may be shared with, and used by, a number of third parties in the insurance sector for example, insurers, agents or brokers, reinsurers, loss adjusters, sub-contractors, regulators, law enforcement agencies, fraud and crime prevention and detection agencies and compulsory insurance databases. The Insurer will only disclose the Insured's personal information in connection with the insurance cover and to the extent required or permitted by law.



The Insured has rights in relation to the information the Insurers hold about the Insured, including the right to access such information. If the Insured wishes to exercise these rights, discuss how such information is used or request a copy of our full privacy notice, please contact:

Compliance Department, W. R. Berkley Syndicate Management Limited, 14th Floor, 52 Lime Street, London EC3M 7AF;
or Email: complaints@wrbunderwriting.com

Subject otherwise to the terms, conditions and exclusions of the policy.



SECTION 2 – LEGAL LIABILITY

INSURING CLAUSE

1. Legal liability

The Insurers will indemnify the Insured in respect of all sums which the Insured shall become legally liable to pay as damages and/or compensation (which includes amounts owing or liability incurred in respect of or arising out of a claim for recovery or contribution made pursuant to legislation concerning the operation of any statutory compensation scheme) in accordance with the law of any country or assumed under contract or agreement in respect of:

- (a) Personal Injury suffered or alleged to have been suffered by any person or persons;
- (b) Property Damage; or
- (c) Advertising Injury,

in respect of and/or arising out of an Occurrence happening anywhere in the Geographical Scope during the Period of Insurance in connection with the Business of the Insured.

2. Defence and other costs

In addition to the Limits of Liability, the Insurers will pay in connection with any indemnity pursuant to clause 1, costs and expenses incurred by or on behalf of the Insured in connection with or incidental to:

- (a) the provision of immediate medical, surgical or other aid to any person;
- (b) the protection of property, including but not limited to temporary repairs and/or shoring up, the purchasing and/or hiring and the erection and dismantling of hoardings, barriers, fences and any other form of temporary protection (including but not limited to such temporary protection which the Insured must provide in order to comply with the requirements of any statutory authority);
- (c) the mitigation, containment, elimination or suppression of actual or possible loss.
- (d) all costs and expenses connected with or incidental to the investigation, defence, negotiation or settlement of any claim made against the Insured (including but not limited to costs and expenses connected with or incidental to any appeals against any judgements against the Insured) incurred by or on behalf of the Insured with the written consent of the Insurer.
- (e) All legal fees and costs for representation at any coroner's inquest or any court or summary jurisdiction incurred with the prior written consent of the Insurer.

Even if the allegations of a suit are groundless, false or fraudulent, the Insurer will defend any proceedings against the Insured for compensation to which indemnity applies (or would apply if the claim was sustained) and the Insurer may make such investigations and settlement of any claim as the Insurer deems expedient.



EXCLUSIONS

This Section does not provide indemnity in respect of:

3. Workers compensation/employers' liability

liability for which the Insured is entitled to indemnity under any policy of insurance required to be taken out pursuant to any legislation relating to workers and workmen's compensation, whether or not the Insured has effected such a policy.

4. Aircraft and Watercraft

liability arising from the ownership, possession or use by or on behalf of the Insured of any;

- (a) mechanically propelled vehicle of mobile plant;
- (b) Aircraft or aerospace device,
- (c) hovercraft; or
- (d) water-borne craft, other than;
 - i. hand propelled or sailing craft in inland territorial waters; or
 - ii. water-borne craft not owned by the Insured but used by the Insured for business entertainment; or
 - iii. mechanically propelled water-borne craft not exceeding 8 metres in length in inland or territorial waters.

5. Vehicles

liability caused by the ownership, possession or use by the Insured of any Vehicle:

- (a) to the extent that such liability at the time and place of the Occurrence giving rise to a claim under this Section is insured by virtue of any legislation governing the use of motor vehicles.
- (b) to the extent insured under a non-statutory motor vehicle insurance arranged by the Insured.

This clause 5 shall not apply to liability in respect of:

- i. the loading or unloading of or the delivery or collection of goods to or from any Vehicle;
- ii. a Vehicle whilst situated or being used on or adjacent to any site or the premises of the Insured;

6. Loss of use

loss of use of tangible property that forms part of a Contract which has not been physically damaged or destroyed resulting from a delay in or lack of performance by or on behalf of the Insured of any Contract or agreement.

7. Defective Product

liability for the cost of replacing or repairing any defective Product but this clause 7 shall apply only to that Part which is in itself defective and shall not apply to any other part(s) of the Product, works or any other property which may be lost or damaged as a consequence.

For the purposes of this clause 7, it is agreed that wherever the word "Part" appears it means that individual piece or fragment of the structure, plant, machine or equipment which is defective.

8. Products recall

damages, costs or expenses claimed for the removal, withdrawal, recall, inspection, repair, reconditioning, replacement or loss of use of any Products or any property of which Products form a part, if such Products or property are withdrawn from the market or from use because of any known or suspected defect in them.

9. Products Guarantee

any guarantee or warranty given by or on behalf of the Insured in respect of Products.

10. Professional liability

liability arising out of the rendering of or failure to render professional advice or service by the Insured or error or omission connected therewith, but this clause 10 does not apply to:

- (a) Personal Injury or Property Damage arising from on-site, manual activities by the Insured; or



- (b) the rendering of or failure to render professional medical advice by medical persons employed by the Insured to provide first aid and other medical services on the Insured's premises or sites.

11. Pollution and contamination

- (a) liability arising out of discharge, dispersal, seepage, release or escape of Pollutants into or upon land, the atmosphere, or water; but this clause 11(a) does not apply if such discharge, dispersal, seepage, release or escape is sudden and accidental and neither expected nor intended from the standpoint of the Insured.
- (b) any costs and expenses incurred in the prevention, removing, nullifying or clean-up of Pollutants, but this clause 11(b) does not apply where clean-up, removal or nullifying expenses are incurred consequent upon a sudden and accidental happening neither expected nor intended from the standpoint of the Insured, which results in Property Damage and/or Personal Injury.

12. Asbestos liability

claims directly or indirectly caused by, contributed to by or arising from exposure to asbestos or materials containing asbestos.

13. Fines and penalties

for fines, penalties or liquidated damages (contractual or otherwise).

14. Punitive Damages

For punitive damages, exemplary damages, aggravated damages or any additional damages resulting from the multiplication of compensatory damages.

15. Advertising Injury

liability arising out of Advertising Injury for:

- (a) offences committed prior to the inception date of this Policy;
- (b) offences made at the direction of the Insured with knowledge of the illegality or falsity thereof;
- (c) breach of contract, other than misappropriation of advertising ideas under an implied contract;
- (d) incorrect description of the price of the Products, goods or services;
- (e) infringement of trade mark, service mark or trade name by use thereof as the trade mark, service mark or trade name of the Products, goods or services sold, offered for sale or advertised, but this clause 12 does not apply to titles or slogans;
- (f) failure of the Products, goods or services to conform with advertised performance, quality, fitness or durability;
- (g) any Insured whose business is advertising, broadcasting, publishing or telecasting.

16. Property owned by or in care, custody or control of the Insured

damage to property:

- (a) owned by the Named Insured; or
- (b) held in trust or in the custody or control of the Insured, but only for which and to the extent that indemnity is provided under Section 1 or other similar policy covering such property.

17. Contractual Liability

the Insurer(s) will not indemnify the Insured against any liability to pay compensation for Personal Injury and/or Property Damage where the liability has been assumed solely under a Contract unless such liability;

- (a) would have attached in the absence of such agreement, or
- (b) is usual to the Insured's Operations, or
- (c) is assumed by the Insured under a warranty of fitness or quality, or is implied by law, in respect of the Insured's Products.

18. Communicable Disease

Notwithstanding any provision to the contrary within this policy, this policy does not cover all actual or alleged loss, liability, damage, compensation, injury, sickness, disease, death, medical payment, defence cost, cost, expense or any other amount, directly or indirectly and regardless of any other cause contributing concurrently or in any sequence, originating from, caused by, arising out of, contributed to by, resulting from, or otherwise in connection with a Communicable Disease or the fear or threat (whether actual or perceived) of a Communicable Disease.



For the purposes of this endorsement, loss, liability, damage, compensation, injury, sickness, disease, death, medical payment, defence cost, cost, expense or any other amount, includes, but is not limited to, any cost to clean-up, detoxify, remove, monitor or test for a Communicable Disease.

As used herein, a Communicable Disease means any disease which can be transmitted by means of any substance or agent from any organism to another organism where:

- (a) the substance or agent includes, but is not limited to, a virus, bacterium, parasite or other organism or any variation thereof, whether deemed living or not, and
- (b) the method of transmission, whether direct or indirect, includes but is not limited to, airborne transmission, bodily fluid transmission, transmission from or to any surface or object, solid, liquid or gas or between organisms, and
- (c) the disease, substance or agent can cause or threaten bodily injury, illness, emotional distress, damage to human health, human welfare or property damage.

19. Faulty workmanship

for the costs or expenses of performing, completing, or rectifying any work or service undertaken or provided by the Insured or on behalf of the Insured.

20. Demolition

for Personal Injury and/or Property Damage directly or indirectly arising out of or in any way connected with the demolition of buildings or structures exceeding 20 metres in height or any Insured Contract involving only demolition work, unless the Insurer has expressly agreed to cover such liability and has specified this in the Schedule.

21. Underground services

for Property Damage to cables, pipes or other services located underground unless the Insured has:

- (a) taken or caused to be taken all reasonable measures to identify the location of such cables, pipes and services before any work is commenced which may involve a risk of damage thereto (reasonable measures include contacting the appropriate authorities where it is possible cables pipes or services are under the site);
- (b) retained a written record of the measures which were taken to locate such cables, pipes or other services; and
- (c) advised the location of such cables, pipes and services to employees or others who are carrying out such work on behalf of the Insured.

22. CYBER and DATA TOTAL EXCLUSION ENDORSEMENT

1. Notwithstanding any provision to the contrary within this Policy or any endorsement thereto this Policy does not apply to any loss, damage, liability, claim, fines, penalties, cost or expense of whatsoever nature directly or indirectly caused by, contributed to by, resulting from, arising out of or in connection with any:

1.1 **Cyber Act** or **Cyber Incident** including, but not limited to, any action taken in controlling, preventing, suppressing or remediating any **Cyber Act** or **Cyber Incident**; or

1.2 loss of use, reduction in functionality, repair, replacement, restoration, reproduction, loss or theft of any **Data**, including any amount pertaining to the value of such **Data**;

regardless of any other cause or event contributing concurrently or in any other sequence thereto.

2 In the event any portion of this endorsement is found to be invalid or unenforceable, the remainder shall remain in full force and effect.

3 This endorsement supersedes any other wording in the Policy or any endorsement thereto having a bearing on a **Cyber Act**, **Cyber Incident** or **Data**, and, if in conflict with such wording, replaces it.

4 If the Underwriters allege that by reason of this endorsement that loss sustained by the Insured is not covered by this Policy, the burden of proving the contrary shall be upon the Insured.

Definitions

5 **Computer System** means any computer, hardware, software, communications system, electronic device (including, but not limited to, smart phone, laptop, tablet, wearable device), server, cloud or microcontroller including any similar system or any configuration of the aforementioned and including any associated input, output, data storage device, networking equipment or back up facility, owned or operated by the Insured or any other party.



6 **Cyber Act** means an unauthorised, malicious or criminal act or series of related unauthorised, malicious or criminal acts, regardless of time and place, or the threat or hoax thereof involving access to, processing of, use of or operation of any **Computer System**.

7 Cyber Incident means:

7.1 any error or omission or series of related errors or omissions involving access to, processing of, use of or operation of any **Computer System**; or

7.2 any partial or total unavailability or failure or series of related partial or total unavailability or failures to access, process, use or operate any **Computer System**.

8. **Data** means information, facts, concepts, code or any other information of any kind that is recorded or transmitted in a form to be used, accessed, processed, transmitted or stored by a **Computer System**.

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23. Cladding Endorsement

Any liability (actual or alleged) caused by, arising out of, or in any way connected with any external insulation and finishing system, wall panelling, cladding or façade material of any kind, that is:

- (a) not compliant with or does not conform to any relevant legislation, regulation, standard, instructions, or ordinance or Building Codes; or
- (b) installed, applied, specified or utilised in such a manner that is not compliant with or does not confirm to any relevant legislation, regulation, standard, instructions, ordinance or Building Codes.

For the purpose of the Endorsement, Building Codes means:

- i. Australian Standards, as published and amended from time to time, by Standards Australia Limited; or
- ii. the National Construction Code, including the Building Code of Australia, or any superseding document, published and amended from time to time, by the Australian Building Codes Board; or
- iii. any conditions of use or application approved by a recognised, and relevant, building standards organisation; or
- iv. any equivalent organisations to those outlines in i) to iii) above, in any other relevant jurisdiction.

24. Silica Exclusion

Any liability (actual or alleged) caused by, arising out of, or in any way connected with the inhalation, ingestion, absorption or exposure to Silica, Silica fibre(s) or Silica Dust or any product(s) containing Silica, Silica fibre(s) or Silica Dust.

“Silica” means:

- 1. Dust comprising Silica only; and
- 2. Dust comprising of Silica mixed with other dust fibre(s) including, but not limited to, asbestos fibres.



CONDITIONS

The following Conditions apply to this Section.

25. Limits of Liability

- (a) The liability of the Insurers under this Section in respect of each Occurrence shall not exceed the Limits of Liability stated in the Schedule, exclusive of defence and other costs as described in clause 2. All Personal Injury, Property Damage or Advertising Injury arising out of continuous or repeated exposure to substantially the same general conditions will be construed as arising out of one Occurrence.
- (b) The Limits of Liability shall apply in excess of the amount of the Excess.
- (c) The total aggregate liability of the Insurers for all claims arising out of Products shall not exceed the Limit of Liability stated in the Schedule for each Period of Insurance.

26. Application of Excess

- (a) The Insured shall be liable to pay the amount of the Excess stated in the Schedule in respect of each Occurrence. If a series of claims are made arising out of the one Occurrence, then only one Excess shall apply.
- (b) The Excess shall also apply to Defence and Other Costs as described in Insuring Clause 2 once these costs have been established.



APPLICABLE TO ALL SECTIONS

EXCLUSIONS

27. Nuclear risks

Any loss, damage, liability, cost or expense directly or indirectly caused by, or arising from:

- (a) ionising radiation from or contamination by radioactivity from any nuclear fuel or from any nuclear waste or from the combustion of nuclear fuel;
- (b) the radioactive, toxic, explosive or other hazardous or contaminating properties of any nuclear installation, reactor or other nuclear assembly or nuclear component thereof;
- (c) any weapon or device employing atomic or nuclear fission and/or other like reaction or radioactive force or matter;
- (d) the radioactive, toxic, explosive or other hazardous or contaminating properties of any radioactive matter. The exclusion in this sub-clause does not extend to radioactive isotopes, other than nuclear fuel, when such isotopes are on the property insured and are being prepared, carried, stored or used in the normal course of operations by the insured for the commercial, agricultural, medical, scientific or other similar peaceful purposes.

In addition, this Policy excludes all Nuclear Energy Risks.

28. War

Any loss, damage, liability, cost or expense occasioned by or through or in consequence directly or indirectly of any of the following occurrences, namely:

- (a) war, invasion, act of foreign enemy, hostilities or warlike operations (whether war be declared or not), civil war;
- (b) mutiny, civil commotion assuming the proportions of or amounting to a popular rising, military rising, insurrection, rebellion, revolution, military or usurped power.

29. Terrorism

Any loss, damage, liability, cost or expense directly or indirectly caused by, contributed to by, resulting from, or arising out of or in connection with any Act of Terrorism, regardless of any other cause or event contributing concurrently or in any other sequence to the loss.

This Policy also excludes loss, Damage, cost or expense directly or indirectly caused by, contributed to by, resulting from, or arising out of or in connection with any action in controlling, preventing, suppressing, retaliating against, or responding to any Act of Terrorism.

30. Wilful acts

any actual or alleged:

- (a) dishonest, fraudulent, criminal or malicious act,
- (b) wilful breach of any statute, contract or duty, or
- (c) conduct intended to cause loss or damage or with reckless disregard for its consequences

carried out by the Insured or any person acting with the Insured's knowledge, consent or connivance.

31. Electronic data exclusion

Any loss, damage, liability cost or expense of whatsoever kind arising directly or indirectly out of:

- (a) total or partial destruction, distortion, erasure, corruption, alternation, misinterpretation or misappropriation of Electronic Data, error in creating, amending, entering, deleting or using Electronic Data; or
- (b) total or partial inability or failure to receive, send, access or use Electronic Data for any time or at all; or



- (c) any business interruption losses resulting therefrom;

regardless of any other contributing cause or event whenever it may occur, unless such loss or damage is a direct consequence of otherwise insured physical damage.

32. Electronic Data Recognition Exclusion (EDRE)

This policy does not cover any loss, damage, cost, claim or expense, whether preventative, remedial or otherwise, directly or indirectly arising out of or relating to:

- (a) the calculation, comparison, differentiation, sequencing or processing of data involving the date change to the year 2000, or any other date change, including leap year calculations, by any computer system, hardware, programme or software and/or any microchip, integrated circuit or similar device in computer equipment or non-computer equipment, whether the property of the insured or not; or
- (b) any change, alteration, or modification involving the date change to the year 2000, or any other date change, including leap year calculations, to any such computer system, hardware, programme or software and/or any microchip, integrated circuit or similar device in computer equipment or non-computer equipment, whether the property of the insured or not.

This clause applies regardless of any other cause or event that contributes concurrently or in any sequence to the loss, damage, cost, claim or expense.

33. Property Cyber and Data Exclusion

- 1 Notwithstanding any provision to the contrary within this Policy or any endorsement thereto this Policy excludes any:
 - 1.1 Cyber Loss;
 - 1.2 loss, damage, liability, claim, cost, expense of whatsoever nature directly or indirectly caused by, contributed to by, resulting from, arising out of or in connection with any loss of use, reduction in functionality, repair, replacement, restoration or reproduction of any Data, including any amount pertaining to the value of such Data;regardless of any other cause or event contributing concurrently or in any other sequence thereto.
- 2 In the event any portion of this endorsement is found to be invalid or unenforceable, the remainder shall remain in full force and effect.
- 3 This endorsement supersedes and, if in conflict with any other wording in the Policy or any endorsement thereto having a bearing on Cyber Loss or Data, replaces that wording.

Definitions

- 4 Cyber Loss means any loss, damage, liability, claim, cost or expense of whatsoever nature directly or indirectly caused by, contributed to by, resulting from, arising out of or in connection with any Cyber Act or Cyber Incident including, but not limited to, any action taken in controlling, preventing, suppressing or remediating any Cyber Act or Cyber Incident.
- 5 Cyber Act means an unauthorised, malicious or criminal act or series of related unauthorised, malicious or criminal acts, regardless of time and place, or the threat or hoax thereof involving access to, processing of, use of or operation of any Computer System.
- 6 Cyber Incident means:
 - 6.1 any error or omission or series of related errors or omissions involving access to, processing of, use of or operation of any Computer System; or
 - 6.2 any partial or total unavailability or failure or series of related partial or total unavailability or failures to access, process, use or operate any Computer System.
- 7 Computer System means:
 - 7.1 any computer, hardware, software, communications system, electronic device (including, but not limited to, smart phone, laptop, tablet, wearable device), server, cloud or microcontroller including any similar system or any configuration of the aforementioned and including any associated input, output, data storage device, networking equipment or back up facility,owned or operated by the Insured or any other party.
- 8 Data means information, facts, concepts, code or any other information of any kind that is recorded or transmitted in a form to be used, accessed, processed, transmitted or stored by a Computer System.

34. Communicable Disease

Notwithstanding any provision to the contrary within this policy, this policy does not cover all actual or alleged loss, liability, damage, compensation, injury, sickness, disease, death, medical payment, defence cost, cost,



expense or any other amount, directly or indirectly and regardless of any other cause contributing concurrently or in any sequence, originating from, caused by, arising out of, contributed to by, resulting from, or otherwise in connection with a Communicable Disease or the fear or threat (whether actual or perceived) of a Communicable Disease.

For the purposes of this endorsement, loss, liability, damage, compensation, injury, sickness, disease, death, medical payment, defence cost, cost, expense or any other amount, includes, but is not limited to, any cost to clean-up, detoxify, remove, monitor or test for a Communicable Disease.

As used herein, a Communicable Disease means any disease which can be transmitted by means of any substance or agent from any organism to another organism where:

- (a) the substance or agent includes, but is not limited to, a virus, bacterium, parasite or other organism or any variation thereof, whether deemed living or not, and
 - (b) the method of transmission, whether direct or indirect, includes but is not limited to, airborne transmission, bodily fluid transmission, transmission from or to any surface or object, solid, liquid or gas or between organisms, and
 - (c) the disease, substance or agent can cause or threaten bodily injury, illness, emotional distress, damage to human health, human welfare or property damage.
1. Notwithstanding any provision to the contrary within this insurance, this insurance does not insure any loss, damage, claim, cost or expense of whatsoever nature directly or indirectly caused by, contributed to by, resulting from, arising out of, or in connection with a Communicable Disease or the fear or threat (whether actual or perceived) of a Communicable Disease regardless of any other cause or event contributing concurrently or in any other sequence thereto.
 2. As used herein, a Communicable Disease means any disease which can be transmitted by means of any substance or agent from any organism to another organism where:
 - 2.1. the substance or agent includes, but is not limited to, a virus, bacterium, parasite or other organism or any variation thereof, whether deemed living or not, and
 - 2.2. the method of transmission, whether direct or indirect, includes but is not limited to, airborne transmission, bodily fluid transmission, transmission from or to any surface or object, solid, liquid or gas or between organisms, and
 - 2.3. the disease, substance or agent can cause or threaten bodily injury, illness, damage to human health, human welfare or property.



CONDITIONS

35. Appointment of Loss Adjuster

Insurance Advisernet is authorised to appoint a loss adjuster from the panel of Loss Adjusters stated in the Schedule. Loss Adjusters are agents of the Insurer(s) and fees and expenses incurred by the Loss Adjusters are payable by the Insurers.

36. Claims Procedure

The Insured shall upon becoming aware of an Occurrence giving rise or likely to give rise to a claim under this Policy:

- (a) give notice as soon as reasonably practicable to the Insurers via Insurance Advisernet
- (b) at the expense of the Insurers take reasonable action to mitigate the actual or potential amount of the claim.
- (c) as soon as reasonably practicable thereafter submit a claim in writing to Insurance Advisernet
- (d) make available to the Insurers or to an authorised representative of the Insurers, all details, proof and particulars as may be reasonably required by it and permit extracts and copies of documentation to be made available and retained if required.

It is understood and agreed that the Insured shall be entitled to take immediate action to avoid danger to persons or property and that such action shall in no way prejudice or invalidate the relevant Insured's position or entitlement with respect to any claim hereunder.

37. Reasonable care

The Insured must:

- (a) take all reasonable measures to maintain in sound condition all property insured under the Policy,
- (b) take all reasonable precautions to prevent or minimise loss or damage to all property insured under the Policy.

38. Insurers' rights and subrogation

- (a) Upon the payment of any claim under this Policy, and subject to the Commonwealth Insurance Contracts Act 1984, the Insurers shall be subrogated to all the rights and remedies of the Insured arising out of such claim against any person or corporation whatsoever.
- (b) The Insured shall, at the request and the expense of the Insurers, do and agree to doing all acts and things as the Insurers may reasonably require to preserve and enforce any rights the Insured may have against anyone in respect of a claim under this Policy.

39. Multiple Insureds Clause

- (a) If the Insured comprises more than one insured party each operating as a separate and distinct entity then (save as provided in this clause 11) cover hereunder shall apply in the same manner and to the same extent as if a separate policy of insurance had been issued to each Insured provided that the total liability of the Insurers to all of the Insured parties collectively shall not exceed the Limits of Liability or Sub-limits in this Policy.
- (b) The Insured will, to the extent allowed under a Contract, at all times preserve the various contractual rights and agreements entered into by the insured parties and contractual rights and agreements entered into by the Insured and contractual remedies of such parties in the event of loss, damage or liability.
- (c) The Insurers agree to waive all rights of subrogation that they may have or acquire against;
 - i. any Insured or any individual or organisation affiliated or associated with a parent of or a subsidiary of any Insured;
 - ii. any other parties or persons, subject to the Insured waiving rights of subrogation under contract and prior to the loss occurring;

40. Notices

- (a) The Insurer(s) and Insured shall address all notices and communications relevant to this Policy to Insurance Advisernet at the address stated in the Schedule. Where the Insured is required under contract to include a provision that the Insurers provide any notice under this Policy to all Insureds, the Insurers agree to this



undertaking. Insurance Advisernet will provide assistance to the Insurers in identifying contact details for each Insured.

- (b) The Insurers will accept notice of a claim by an Insured as notice by all Insureds under this Policy.

41. Declarations and Premium payment

Should the Insured Contracts stated in the Schedule be adjustable, then the Premium will be adjusted as follows.

As soon as practicable following the expiry of the Period of Insurance, the Named Insured will declare to the Insurers the total Contract Value expended for each Insured Contract incurred during the Period of Insurance

42. Insolvency or bankruptcy

The insolvency or bankruptcy of any party comprising the Insured shall not release the Insurers from any of their obligations assumed under this Policy.

43. Cancellation or non-renewal

- (a) By the Insurers

Insurers may cancel this Policy only in accordance with the Insurance Contracts Act 1984 (Cth). Where so permitted to cancel, the Insurers shall do so by issuing the Named Insured sixty (60) days' notice in writing.

- (b) By the Named Insured

The Named Insured may cancel this Policy or an Insurer's individual participation in this Policy for their proportion, in the event that Insurer's financial rating as published by Standard and Poors' and A.M. Bests (or equivalent rating agency) falls below 'A-' or its equivalent, at any time by giving notice in writing to the Insurers.

After cancellation by the Insurers or Named Insured, the Premium will be adjusted in accordance with clause 41 of this Section or pro-rata for the period Insurer(s) were on risk if the outcome does not represent an equitable refund to the Named Insured for the cancelled period.

44. Alterations in material fact, error or omission

Any alternation in any material fact or otherwise regarding construction methods or procedures or any other information contained in or omitted from any underwriting information supplied to the Insurers shall not prejudice the cover provided by this Policy. The Named Insured undertakes to notify Insurers as soon as the alteration becomes known and then subject to any variation to this Policy which will be mutually agreed between the Named Insured and Insurer(s).

45. Currency

All monetary amounts expressed in this Policy are in Australian (AUD) dollars. The premium and claims settlements shall be paid in Australian (AUD) dollars or as otherwise agreed between the Insurers and the Insured.

46. Difference in conditions cover (Underlying Insurance)

- (a) In the event of the Insured being indemnified by an Underlying Insurance in respect of a claim for which indemnity is available under this Policy, the insurance afforded by this Policy shall be limited to excess insurance over the applicable limit of indemnity of the Underlying Insurance.
- (b) Coverage under this Policy shall not apply unless and until a claim for payment is made under the Underlying Insurance up to the amount of the Underlying Limit which, save for the limit of indemnity of the Underlying Insurance, would be covered by this Policy.
- (c) Should any such Underlying Insurance, by virtue of its scope of cover, definitions, deductibles or excesses, conditions or limits of indemnity, not indemnify the Insured in whole or in part in respect of a loss, damage, liability, costs or expenses indemnifiable under this Policy, this Policy will only provide indemnity to the extent that such indemnity is not provided by the terms and conditions of such Underlying Insurance. For the purpose of clarity, it is intended that indemnity by this Policy extends to cover losses not covered under the Underlying Insurance by virtue of the fact that such Underlying Insurance has a higher deductible or excess than the Excess under this Policy.
- (d) The provisions of this clause 46 are subject always to the terms, Conditions and Exclusions of this Policy, except as provided under (c) above.

Indemnity provided under this clause will not apply to the party effecting the Underlying Insurance.



47. Leading Insurer

The Lead Insurer is the company designated in the Introduction to this Policy. Each other Insurer(s) agrees to accept the Lead Insurer's decisions and authorises the Lead Insurer to implement risk surveys and appoint Loss Adjusters. The Lead Insurer acknowledges that wherever reasonably practicable, to liaise with each other Insurer(s) on decisions of a material nature and to provide progress reports and findings to all companies, including the Named Insured.

48. Assignment

If required, the Insurers will consider the assignment of this Policy to another party upon application by the Insured. Such agreement shall not be unreasonably withheld.

49. Authorship

The Policy wording, including all attachments thereto by way of schedules, specifications, definitions, clauses, warranties, conditions, endorsements or otherwise, is to be construed at all times as having been drawn up solely by the Insurer.

50. Jurisdiction and services of suit

If you have any concerns or wish to make a complaint in relation to this policy, our services or your insurance claim, please let us know and we will attempt to resolve your concerns in accordance with our Internal Dispute Resolution procedure. Please contact ATC in the first instance:

ATC's Internal Dispute Resolution Officer
ATC Insurance Solutions
Email: info@atcis.com.au
Telephone: (03) 9258 1777
Post: Level 4, 451 Little Bourke Street, Melbourne VIC 3000

We will acknowledge receipt of your complaint and do our utmost to resolve the complaint to your satisfaction within 10 business days.

If we cannot resolve your complaint to your satisfaction, we will escalate your matter to Lloyd's Australia who will determine whether it will be reviewed by their office or the Lloyd's UK Complaints team. Lloyd's contact details are:

Lloyd's Australia Limited
Email: ldraustralia@lloyds.com
Telephone: (02) 8298 0783
Post: Suite 1603 Level 16, 1 Macquarie Place, Sydney NSW 2000

A final decision will be provided to you within 30 calendar days of the date on which you first made the complaint unless certain exceptions apply.

You may refer your complaint to the Australian Financial Complaints Authority (AFCA), if your complaint is not resolved to your satisfaction within 30 calendar days of the date on which you first made the complaint or at any time, AFCA can be contacted as follows:

Australian Financial Complaints Authority
Email: info@afca.org.au
Telephone: 1800 931 678
Post: GPO Box 3, Melbourne VIC 3001
Website: www.afca.org.au

The Underwriters accepting this Insurance agree that:

- i) if a dispute arises under the Insurance, this Insurance will be subject to Australian law and practice and the Underwriters will submit to the jurisdiction of any competent Court in the Commonwealth of Australia;
- ii) any summons notice or process to be served upon the Underwriters may be served upon:

Lloyd's Underwriters' General representative in Australia



Suite 1603
Level 16
1 Macquarie Place
Sydney NSW 2000

who has authority to accept service on the Underwriters' behalf;

- iii) if a suit is instituted against any of the Underwriters, all Underwriters participating in the Insurance will abide by the final decision of such Court or any competent Appellate Court.

In the event of a claim arising under the Insurance immediate notice should be given to:

ATC Insurance Solutions Pty Ltd
Level 4, 451 Little Bourke Street
Melbourne VIC 3000
Telephone 03 9258 1777
Email: info@atcis.com.au

51. General Insurance Code of Practice

The Insurance Council of Australia Limited has developed the General Insurance Code of Practice ("the Code"), which is a voluntary self-regulatory code. The Code aims to raise the standards of practice and service in the insurance industry.

Lloyd's has adopted the Code on terms agreed with the Insurance Council of Australia. For further information on the Code please visit www.codeofpractice.com.au.

The Code Governance Committee (CGC) is an independent body that monitors and enforces insurers' compliance with the Code. For more information on the Code Governance Committee (CGC) go to www.insurancecode.org.au.

52. Misrepresentation and Non-Disclosure:

If the Insured:

- (a) fails to disclose any matter which the Insured was under a duty to disclose to the Insurer; or
- (b) made a misrepresentation to the Insurer before this policy was entered into and if the Insurer would not have entered into this policy for the same premium and on the same terms and conditions expressed in this policy but for the failure to disclose or the misrepresentation, then:
 - i. the Insurer's liability in respect of any claim will be reduced to an amount to place the Insurer in the same position in which the Insurer would have been placed if such non-disclosure had not occurred or such misrepresentation had not been made; or
 - ii. if the non-disclosure or misrepresentation was fraudulent, the Insurer may avoid this policy.

53. Sanction Limitation and Exclusion Clause

No (re)insurer shall be deemed to provide cover and no (re)insurer shall be liable to pay any claim or provide any benefit hereunder to the extent that the provision of such cover, payment of such claim or provision of such benefit would expose that (re)insurer to any sanction, prohibition or restriction under United Nations resolutions or the trade or economic sanctions, laws or regulations of the European Union, United Kingdom or United States of America.

54. Several Liability Notice- LSW 1001

The subscribing Insurers' obligations under contracts of insurance to which they subscribe are several and not joint and are limited solely to the extent of their individual subscriptions. The subscribing Insurers are not responsible for the subscription of any co-subscribing Insurer who for any reason does not satisfy all or part of its obligations.

55. Australia Terrorism Insurance Act 2003 Notice

The Underwriters have treated this Insurance (or part of it) as an Insurance to which the Australia Terrorism Insurance Act 2003 (ATIA) applies.



ATIA and the supporting regulations made under the Act deem cover into certain policies and provide that the Terrorism exclusion to which this Insurance is subject shall not apply to any "eligible terrorism loss" as defined in ATIA.

Any coverage established by ATIA is only in respect of any "eligible terrorism loss" resulting from a "terrorist act" which is a "declared terrorist incident" as defined in ATIA. The Terrorism exclusion to which this Insurance is subject applies in full force and effect to any other loss and any act or event that is not a "declared terrorist incident".

All other terms, conditions, insured coverage and exclusions of this Insurance including applicable limits and deductibles remain unchanged.

If any or all of the Underwriters have reinsured this Insurance with the Australian Reinsurance Pool Corporation, then any such Underwriters will not be liable for any amounts for which they are not responsible under the terms of ATIA due to the application of a "reduction percentage" as defined in ATIA which results in a cap on the Underwriter's liability for payment for "eligible terrorism losses".

